

Smart Expense & Invoice Auditor (SEIA) Policy

Systemic Grounding & RAG-Enabled Compliance Framework

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1. RAG-Centric Operational Guidelines

This document serves as the authoritative grounding data for the Smart Expense & Invoice Auditor (SEIA) agent. All automated decisions must be contextually mapped to the following parameters.

1.1 Primary Disbursement Constraints

- Meal Allowance Cap:** A hard threshold of **500 PHP** is enforced for all individual food and beverage claims [cite: 3, 4].
- Incidental Logistics:** Daily small-scale logistics (tolls, parking) are capped at **300 PHP** [cite: 4]. Amounts below 50 PHP do not require physical receipts but must be logged manually [cite: 4].
- Software Justification:** All software-as-a-service (SaaS) and digital tool invoices must include a mandatory 'justification' field [cite: 3, 4]. The agent is instructed to cross-verify this against the existing seat inventory [cite: 4].

1.2 Mobility & Transport Grounding

- The 2,000 PHP Review Rule:** Any mobility transaction (airfare, car rentals, inter-city transport) exceeding **2,000 PHP** must be flagged with a **pending_review** status [cite: 3, 4].
- Ride-Hailing Optimization:** SEIA is grounded to only approve "Economy/Standard" tiers. Premium tiers will trigger a cost-adjustment protocol [cite: 4].
- Fuel Verification:** Odometer documentation is required for all fuel-related claims [cite: 4].

2. Multi-Currency Context & Regulatory Compliance

The SEIA agent utilizes these guidelines to reconcile international transactions within the local regulatory context.

2.1 International Exchange & Fee Logic

- **FX Reconciliation:** International invoices are dynamically converted to PHP based on the timestamped exchange rate of the transaction date [cite: 3, 4].
- **Surcharge Categorization:** International Service Assessment (ISA) fees and other cross-border surcharges must be isolated from the principal expense amount [cite: 3, 4].
- **Multilingual OCR:** The agent utilizes OCR-Translation to ground non-English receipts into the PHP-based ledger [cite: 4].

2.2 BIR Compliance & Statutory Standards

- **Documentation Validity:** Only "Official Receipts" or "Sales Invoices" are acceptable grounding for claims over 1,000 PHP; "Order Slips" are invalid [cite: 4].
- **Withholding Tax (WHT):** The agent is grounded to identify WHT obligations for B2B international services based on vendor jurisdiction [cite: 3, 4].

3. Anomaly Heuristics & Fraud Detection

Heuristic patterns used by the agent to detect financial leakage are based on the following logic:

- **Historical Duplication:** The agent must scan for identical merchant, date, and amount strings across all historical claim data [cite: 1, 3, 4].
- **Anti-Split Purchasing:** ML models must detect "smurfing" patterns (multiple transactions under 2,000 PHP) designed to bypass the review threshold [cite: 3, 4].
- **MCC Restriction:** Prohibited Merchant Category Codes (e.g., casinos, high-value jewelry) are automatically flagged [cite: 4].
- **Temporal Anomalies:** Non-business day transactions without corresponding "Business Trip" status in the system are flagged for manual audit [cite: 1, 4].

4. Technical Grounding & Systemic Safeguards

Technical parameters defining the operational environment for the AI auditor.

4.1 Cryptographic & Privacy Standards

- **Transport Layer:** All systemic data exchanges must use TLS 1.3 encryption [cite: 1, 3, 4].
- **Persistence Security:** All stored financial data is grounded under AES-256 encryption [cite: 4].
- **Automated Redaction:** The SEIA agent is programmed to redact PII from receipt images that are non-essential for financial verification [cite: 1, 3, 4].

4.2 Knowledge Retrieval & Archiving

- **Immediate Retrieval (Hot):** Raw assets remain available for retrieval and verification for 90 days [cite: 1, 3, 4].
- **Long-term Archival (Cold):** Metadata and policy logs are archived for 7 years for statutory compliance [cite: 1, 3, 4].

5. Compliance Enforcement Hierarchy

To maintain systemic integrity, the agent follows this enforcement priority:

1. **Regulatory Compliance:** BIR tax standards and WHT laws take absolute priority.
2. **Hard Constraints:** Meal caps (500 PHP) and Travel review thresholds (2,000 PHP) [cite: 3, 4].
3. **Heuristic Warnings:** Soft warnings for split-purchasing or high-risk MCC categories.